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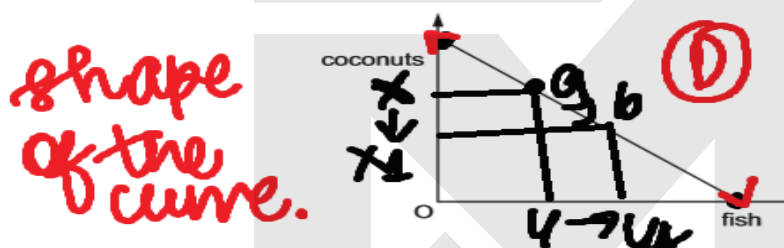
1-D:

A: A production possibility curve does not give an idea about “perfect complements”. We need relevant information about cross elasticity of demand for this.

B: Again, a production possibility curve does not help identify “perfect substitutes”. We need relevant information about cross elasticity of demand for this.

C: We are not given any information about the “combination” of outputs of fish and coconuts, to help us identify if inhabitants consume more fish than coconuts.

D: The constant curve helps to identify that the opportunity cost is constant. For every additional output of fish from Y to Y1, an equal amount of coconuts from X to X1 will have to be foregone from X to X1. This happens when resources are perfectly mobile, that is, they can be easily switched from the production of one good to another. This can be seen in the diagram below.



2C:

-Opportunity cost is the next best alternative foregone.

-The decision to visit the museum for three hours would lead to “the pay that could have been earned in those three hours” i.e.  $120(40 \times 3)$ , being sacrificed. These 120 dollars that could have been earned but is now foregone, becomes the “opportunity cost”

3-A:

-“The burden of tax should be shifted to the highest earners” represents a subjective opinion or a value judgement that represents an opinion by usage of the word “should”, making this a “normative judgement”

-“The statement ‘it is in the public interest that key services are nationalized’, is again an “opinion” or normative statement favouring “nationalization” over “privatization”

4-A:

A-As an economy moves from a “planned economy” to a more “market focused economy”, government interventions or controls are lifted, this includes “minimum prices” for example, as now the price mechanism will determine “resource allocation”.

B-The government establishing a regulatory body to monitor inefficiencies in apple production, is again representing “increased government intervention”

C-Increasing subsidies would increase government intervention

D-Imposition of “maximum price” also represents government intervention

5-B:

A: When the demand for a normal good is “income-elastic” , a rise in income would increase the demand for these goods by a relatively higher percentage, which may increase total expenditure .However, it is most important to note that this represents the “concept of income elasticity of demand” , which can help understand changes in incomes on the demand of different types of goods and in turn total expenditures.

**B: It is only “price elasticity of demand” that can help producers understand impact of changes in price on Total Revenue** .In case of inelastic demand, a rise in price by a relatively higher percentage would lead to a contraction in qty demanded by a relatively smaller percentage, leading to Total expenditures being maximized.

C: If the price of a complementary good increases, this would lead to a fall in the demand for the good since there is a negative relationship between price of a good and the demand for another in case of complements.

D: If the price of a substitute good increases ,there will be a rise in the demand for the good, as individuals would switch to it, in most cases . But in this case, the price of the “good is also rising” , so whether or not, the demand for the good will rise or not depends upon the relative price changes of both the goods.

6-B:

A: When the labor is immobile, it would not be able to be easily switched in between production processes , and would not form of a part of “flexible labor force” , that is, it would not be helping the firm to respond easily to changes in demand, making the supply “inelastic” in response to changes in demand.

B: In a case whereby “spare capacity” exists , firms will be able to cater increased demand with zero to minimum extra fixed cost, representing that the supply will now be elastic in response to changes in demand ,making this the answer.

C: When the product is perishable, there will be low stocks of “raw materials” and “finished goods” , which means that the firm’s ability to respond to rising demand will be very low, making supply inelastic.

D: When “ unemployment “is low, this means that there is less of labor able, and this will restrict the ability of firms to hire labor at a lower wage rate, since there will now be an upward pressure on wage rates, due to shortages of labor , decreasing the ability of firms to respond , making the supply more “inelastic”

7-A:

A fall in the price of “cream” that is a “complement” to strawberries will lead to a rise in the demand for strawberries, since there is a “negative relationship between the price of one good and demand for another” in case of “complements.” This represents a rightward shift in the “demand curve”

Failure of strawberries to ripen will lead to a fall in the supply of “strawberries”, causing a leftward shift in the “supply curve”.

Therefore, it will lead to a new equilibrium point to be achieved from “X to A”

8-C:

**-A rise in incomes would lead to a “rise in the demand for normal goods only” , since there is a positive relationship between the incomes of individuals and demand for normal goods, as individuals would use their increased incomes to “replace inferior substitutes”, since these goods are superior goods, which are highly luxurious in nature, to improve their standard of living.**

-This would have not been in the case of inferior goods, as in case of “inferior goods”, there would have been a fall in demand for the good, upon a rise in income.

**-If price of good Y falls, and it is a complementary good, it will lead to a rise in demand for good X , since there is a negative relationship between the price of one good and the demand for another , in case of complements.**

Similarly, had it been a substitute , a fall in the price would have led to a fall in the demand for the good, as individuals would have reduced the demand for the good, and switched to the substitute, which represents a leftward shift in the demand curve

Therefore, none other than option C is correct

9-D:

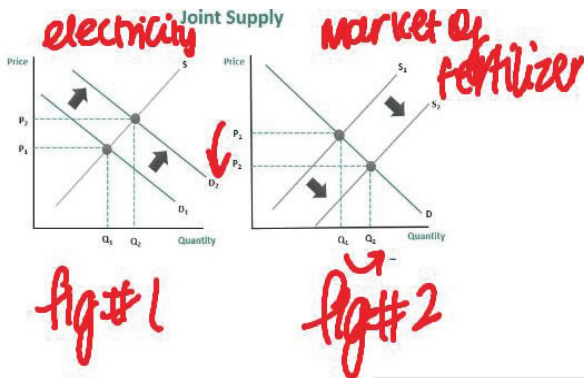
A-Consumers can buy all of the good that they demand at the market price: If consumers can buy all of the goods they demand at the market price, it implies that the quantity demanded matches the quantity supplied.

B- Producers can sell all of the good that they supply at the market price: If producers can sell all of the goods they supply at the market price, it suggests that the quantity supplied matches the quantity demanded. Again, in a state of equilibrium, this would be accurate. However, in a disequilibrium situation, the quantity supplied and quantity demanded do not align.

C. The market price of the good will not change: In a free market, prices are determined by the forces of supply and demand. In a state of disequilibrium, where the quantity demanded and quantity supplied differ, the market price tends to adjust to restore balance. Therefore, stating that the market price will not change in a disequilibrium scenario is incorrect.

D. The quantity of the good demanded differs from the quantity supplied: This option correctly identifies that in a disequilibrium situation, the quantity demanded and the quantity supplied are not equal. There is an imbalance between the two, which leads to market forces working to eventually restore equilibrium. If the quantity demanded exceeds quantity supplied, there will be a shortage, and if the quantity supplied exceeds quantity demanded, there will be a surplus.

10-A:



-Jointly supplied goods represent two goods that are produced together, but for different purposes.  
 -For example: a rise in the demand for electricity apart from having caused an extension in qty supplied of electricity, leads to an increase in supply for "jointly-supplied good", for example: in this case, fertilizer  
 -Subsequently, an increase in supply of fertilizers will lead to a surplus in the fertilizer market, leading to a "fall in price of fertilizers", and along with it, an "extension in quantity demanded of fertilizers", as can be seen in figure 2  
 (Correct) (option A becomes

11-C:

11 The table shows the supply and demand for avocados in Mexico City.

| price per kilogram (\$) | quantity demanded per day (kg) | quantity supplied per day (kg) |
|-------------------------|--------------------------------|--------------------------------|
| 45                      | 170                            | 230                            |
| 40                      | 190                            | 190                            |
| 35                      | 210                            | 150                            |
| 30                      | 230                            | 110                            |

*New QS*

*+50 = 280*  
*+60 = 350*  
*+60 = 240*  
*+60 = 170*  
*→ QD = New QS*

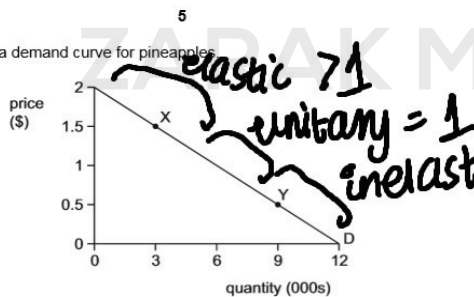
As a result of lower transport costs, supply rises by 60 kg at all prices.

What is the new equilibrium price?

- A \$45 B \$40 C \$35 D \$30

12-B:

12 The diagram shows a demand curve for pineapples.



→ As we move down from point X to point Y, the value of 'PED' falls.  
 → The PED value at point Y will be 'inelastic'

What happens to the value of price elasticity of demand (PED) when there is a movement from point X to point Y and what describes the value at point Y?

|   | effect on value of PED | value of PED at Y |
|---|------------------------|-------------------|
| A | fall                   | elastic           |
| B | fall ✓                 | inelastic ✓       |
| C | rise                   | elastic           |
| D | unchanged              | unitary           |

13-D;

- 13 Four firms produce furniture. The table shows the price elasticity of supply (PES) for each firm.

If the price of furniture rises by 5% which firm would experience an increase in quantity supplied of 2.5%?

| firm | PES for furniture |
|------|-------------------|
| A    | 2.5               |
| B    | 2.0               |
| C    | 0.6               |
| D    | 0.5               |

$$\frac{\% \text{ change in } Q_s}{\% \text{ change in price}} = PES$$

$$\textcircled{B} \rightarrow \frac{x}{5} = 2, x = 10\%$$

$$\textcircled{C} \rightarrow \frac{x}{5} = 0.6, x = 3\%$$

$$\frac{x}{5} = 2.5, x = 12.5\%$$

$$\frac{x}{5} = 0.5, x = 2.5\%$$

ZARAK MUSHTAQ

14-A:

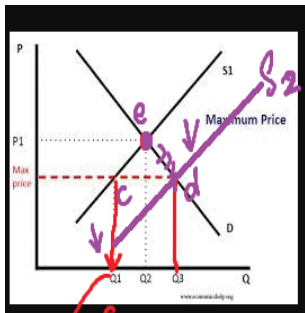
A. Private firms can produce the same outputs using fewer inputs: This argument often used to justify the privatization of state enterprises is based on the belief that private firms, due to their profit-oriented nature, are more efficient in utilizing resources. It suggests that private firms have stronger incentives to minimize costs and improve productivity, which can lead to producing the same outputs with fewer inputs compared to state enterprises.

B. Private firms try to earn large profits: While private firms generally seek to earn profits, this argument represents the disadvantage of privatization as private firms may seek to form monopolies, restrict supply and exploit consumers by charging higher profits.

C. State enterprises are always monopolies that exploit consumers: This statement is incorrect as it assumes that all state enterprises are monopolies and exploit consumers, not all state enterprises possess such characteristics as **mostly these enterprises operate with the objective of social welfare**. Additionally, the exploitation of consumers occurs mainly in case of private firms as well, as private sector firms are more likely to exhibit "exploitative behavior"

D. State enterprises are indeed owned and financed by the government. They are typically established and operated by the government to provide goods or services to the public. State enterprises can operate in various sectors such as transportation, energy, telecommunications, healthcare, and more. They are funded through government budgets. However, it's worth noting that not all state enterprises require continuous government subsidies to operate. Some state enterprises can generate their own revenue through the provision of goods or services.

15-B:



A- There would not be a shortage of "applicants for rented housing". An extension in qty demanded represents an increase in "the number of applicants" and not a shortage of applicants.

B- As can be seen in the figure on the left, that an imposition of a maximum price", would lead to a 'contraction in qty supplied of rented housing' and 'an extension in qty demanded of rented housing' representing "shortages of rented housing".

C- An increase in supply of rented housing may not increase to match the demand when a maximum price has been imposed, until and unless, the government intervenes with measures such as subsidies to encourage an "increase in supply" *as can be seen on the left.*

D- As can be seen in the left, there is a contraction in qty supplied, that is the new equilibrium qty, there is a "decrease in the number of houses rented"

16-D:

A. A government grant to a firm to provide healthcare services:

This option refers to government funding provided to a firm to deliver healthcare services. While it involves government support for the provision of healthcare, it does not directly fall under the category of direct government provision. The healthcare services are still being delivered by a private firm

B. A government regulation on the amount of sugar in soft drinks:

This option refers to government regulations aimed at controlling the amount of sugar in soft drinks. Regulations impose restrictions or requirements on the industry but do not involve direct government provision of goods and services. Instead, it involves setting standards or guidelines for specific products or practices.

C. A government subsidy to a firm that operates a regional train service:

This option involves a government subsidy provided to a firm that operates a regional train service. While the government subsidy supports the operations of the firm, it does not constitute direct government provision of goods and services. The train services are still provided by a private firm, albeit with financial assistance from the government.

D. A government takeover of a local bus service:

Option D is correct because a government takeover of a local bus service involves the direct provision of goods and services by the government. In this scenario, the government assumes ownership and control of the local bus service, directly operating and providing the transportation service to the public.

17-B:

A. Ad valorem direct:

An ad valorem tax is a tax calculated based on the value or percentage of a specific item or transaction. However, it is considered direct when it is imposed on income rather than on goods or services. The 15% sales tax in South Africa is not a direct tax as it is not levied on income.

B. Ad valorem indirect:

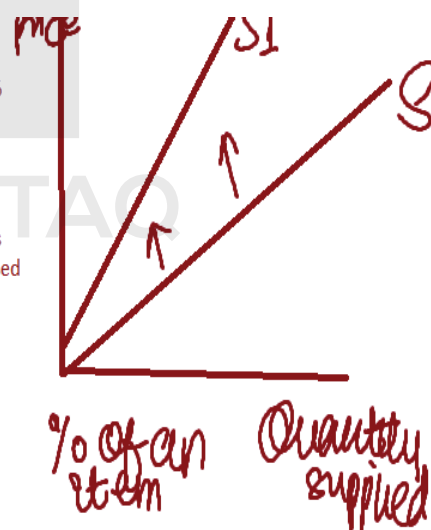
An ad valorem tax levied on goods or services is categorized as an indirect tax. The 15% sales tax in South Africa fits this description as it is imposed on the value or percentage of goods or services purchased. It is an indirect tax because it is collected from consumers when they make purchases, and the burden is passed on to the final consumers.

C. Specific direct:

A specific tax is a fixed amount of tax imposed on each unit of a good or service, regardless of its value. However, the 15% sales tax in South Africa is not a specific tax as it is a percentage of the value of the goods or services purchased, rather than a fixed amount per unit.

D. Specific indirect:

A specific tax imposed on goods or services as a fixed amount per unit is categorized as a specific indirect tax. Since the 15% sales tax in South Africa is not a specific tax but rather a percentage of the value of goods or services, it does not fall under the category of specific indirect tax.



18-D:

Option D, "the payment of student grants by the government," is an example of a transfer payment, while the other options are not. Here's an explanation for each option:

A. A household moving savings from one bank account to another: This scenario does not represent a transfer payment. It involves a household transferring their savings from one bank account to another, which is essentially a transaction within the household's financial assets and does not involve any transfer of funds from one entity to another, without any exchange of goods or services in return.

B. A monthly repayment on a loan used to buy a new cooker: This option refers to a monthly repayment on a loan used to purchase a new cooker. It involves the repayment of borrowed funds, which is not considered a transfer payment. It represents the repayment of a debt rather than a transfer of funds from one party to another without any corresponding exchange of goods or services.

C. The amount paid to transport goods from one city to another: The payment made for transporting goods from one city to another is a transaction for a specific service and does not fall under the category of a transfer payment. It represents a payment made in exchange for the transportation service provided.

D. The payment of student grants by the government: Option D is correct because the payment of student grants by the government exemplifies a transfer payment. In this case, the government transfers funds to eligible students without expecting any goods or services in return.

19-B:

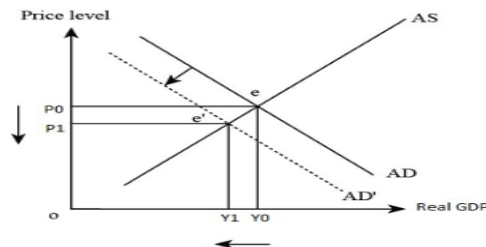
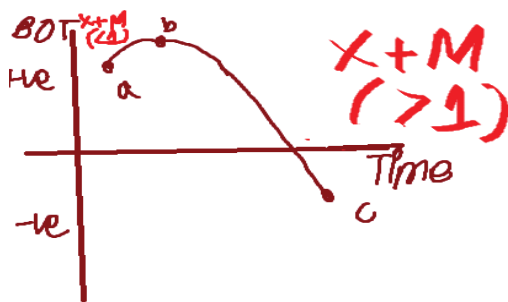
A: A fall in interest rates would lead to a reduced incentive to save, and an increased consumption expenditure even on imported goods, and this rise in import expenditures would lead to a worsening effect on the current account.

B: A reduction in "dividend payments" to foreign investors would lead to less outflows from the primary incomes, leading to "improvement in current account balance" as the primary incomes balance improves, which makes this correct.

C: A reduction in the rate of income tax, when increases the disposable incomes of individuals, would lead to an increase in purchasing powers and consumption, even on imported goods, which can worsen BOT position and in turn "current account balance"

D: An increase in the level of government's current, exhaustive spending would lead to an increase in injections into the circular flow, which will lead to an increase in "rolling of money", leading to an increase in generation of incomes, which would contribute to a rise in consumption also on imported goods, worsening the current account balance.

20-B:



45

A- Appreciation is not likely to improve redistribution of income, instead policies concerned with taxation, for example: progressive taxation would improve "redistribution of income"

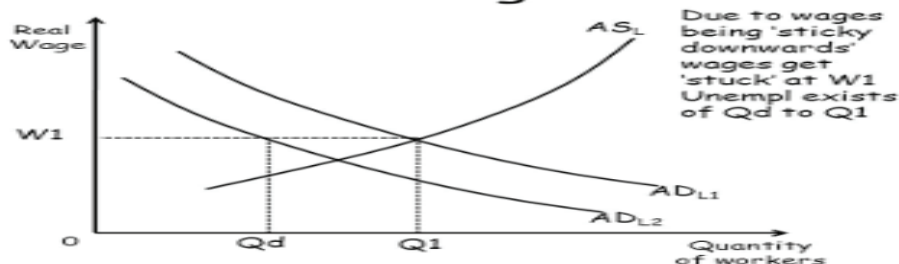
C: As can be seen on the Reverse J curve **above**, appreciation would lead to a worsening effect on the BOT deficit in the long run. This is because, as imports appear relatively cheaper and competitive, there would be an extension in qty demanded of imports in the long run, when the demand for them is elastic, leading to a rise in "import expenditures", which would instead cause a "rise in the volume of imports."

B: In the long run, when the combined sum of price elasticities of demand of imports and exports is greater than 1, which leads to a Balance of Trade deficit, and since this leads to net leakages from the circular flow, this would lead to a fall in Aggregate demand, causing a surplus of resources, causing the general price level to fall, representing that "demand pull inflation" would fall. When it leads to imports of raw materials with **inelastic** demand becoming relatively cheaper, it can lead to a reduction in "import expenditures" and in turn costs, contributing to a fall in "cost push inflation".

D: In the long run, when the combined sum of price elasticities of demand of imports and exports is greater than 1, which leads to a Balance of Trade deficit as when import goods become relatively cheaper and exports become expensive, there is a rise in import expenditures and a fall in export revenues, and since this leads to net leakages from the circular flow, this would lead to a fall in Aggregate demand. And, this would lead to a fall in production, and demand for labour, causing a rise in "demand deficient unemployment"

ZARAK MUSHTAQ

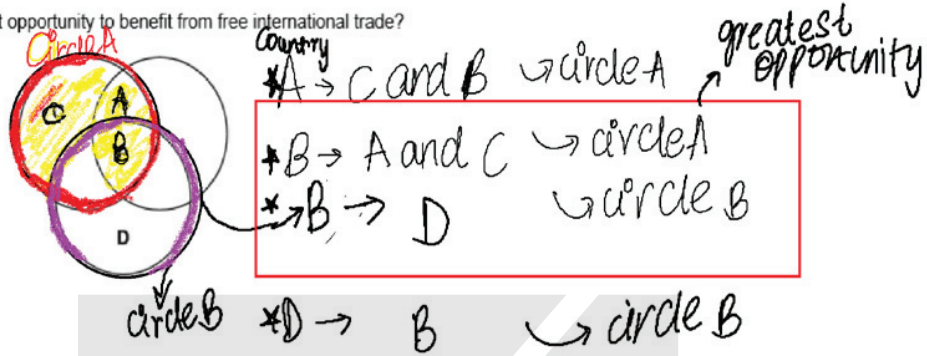
### Demand deficient unemployment on a diagram



21 Four countries, A, B, C and D, trade internationally.

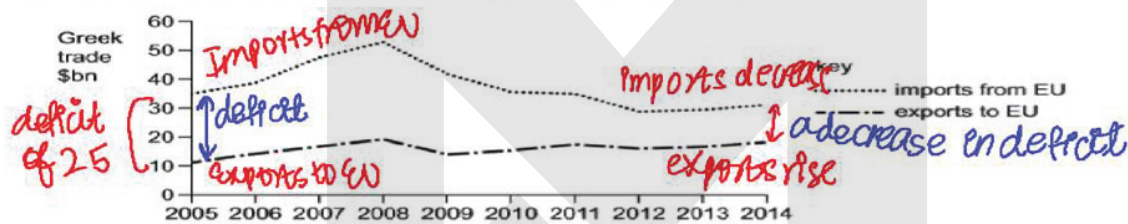
Each circle in the diagram represents a free trade area between the countries within the circle. A country can belong to more than one free trade area. Countries outside of a circle face trade barriers.

Which country has the greatest opportunity to benefit from free international trade?



22-C:

22 The diagram shows Greece's trade position with the EU between 2005 and 2014.



How does the Greek trade balance with the EU differ in 2014 compared to 2005?

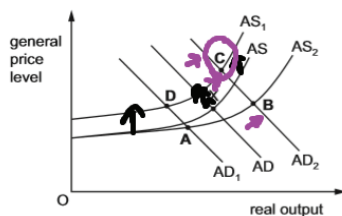
- A an increased deficit
- B an increased surplus
- C a reduced deficit**
- D a reduced surplus

23-C:

23 A central bank forecasts a rise in raw material costs. The government plans to increase spending on health and education.

The initial equilibrium point is shown by X on the aggregate demand, AD, and aggregate supply, AS<sub>1</sub>, diagram.

What would be the new equilibrium point in the short run if the forecasts prove to be accurate and the government plans are implemented?



\* A rise in raw material costs would cause a decrease in 'Aggregate Supply'

\* An increased government spending leads to an increase in Aggregate demand.

24-C:

A-A large surplus in the current account does not mean there will be a decrease in exports of capital. Instead, there must have been a rise in the exports of capital.

B-A large surplus on the current account as a result of a Balance of Trade surplus , that represents net injections in to the circular flow , leads to an increase in Aggregate demand, and in turn production , and demand for labor causing a decrease in “demand deficient unemployment.”

c- A large surplus represents more inflows than outflows of currency, which in a way means that the demand for currency is greater than the supply of currency, leading to “appreciation of the exchange rate” .This means that “**the prices of imports would decrease**”

D-As mentioned above that this would result in an “appreciation of the exchange rate”, this represents a rise in the value of the currency and not a fall.

25-C:

The **immediate effect** of this transaction , that is, a share purchase by a US resident in Germany , would lead to an outflow or a **debit from the capital and financial account.**

**The subsequent effect of this transaction would be receipts of dividends, representing “ credit in the current account”**

**This is why C becomes correct.**

26-B:

A: A fall in the price level represents “deflation”

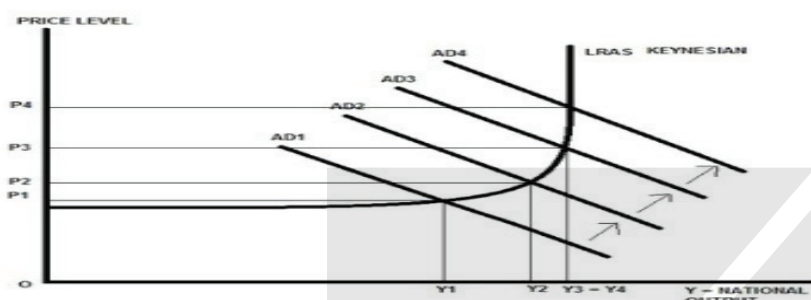
B: A fall in the rate of “inflation” represents “dis inflation” that represents a “situation whereby prices are increasing but a decreasing rate”

C: A rise in the value of money occurs in the case of “deflation”

D: Inflation below zero represents “deflation”

27-A:

Option A, "enough capacity to produce the extra goods and services demanded," is correct because it directly addresses the requirement for increasing output in the economy. When aggregate demand rises, there needs to be sufficient capacity within the economy to produce the additional goods and services that are being demanded. If the economy lacks the capacity to meet the increased demand, it may result in inflationary pressures.



B) The economy cannot engage in imports since it is a closed economy.

C) Government spending being less than tax revenue (a budget surplus) does not lead to a rise in output. Instead, this deflationary fiscal policy would have a contractionary effect on Aggregate demand.

D) Reducing credit to lower inflation is a measure that would reduce Aggregate demand, since it is a "contractionary monetary policy"

28-D:

28 A country with a fixed exchange rate and a deficit in the current account of its balance of payments enters a recession. It devalues its currency in an effort to correct its balance of payments.

Under which conditions is the deficit most likely to improve?

|   | price elasticity of demand for imports | price elasticity of demand for exports | income elasticity of demand for imports |
|---|----------------------------------------|----------------------------------------|-----------------------------------------|
| A | 0.3                                    | 0.5                                    | 0.8                                     |
| B | 0.4                                    | 0.8                                    | 0.8                                     |
| C | 0.3                                    | 0.5                                    | 1.2                                     |
| D | 0.4                                    | 0.8                                    | 1.2                                     |

Sum of PED of imports and exports

$0.3 + 0.5 = 0.8$   
 $0.4 + 0.8 = 1.2$   
 $0.3 + 0.5 = 0.8$   
 $0.4 + 0.8 = 1.2$

According to the Marshall Lerner condition, the sum of PED of imports and exports must be  $>1$  for devaluation to be effective.

Why D and not B?

In a period of recession, that represents a period of "falling incomes", a situation whereby the income elasticity of demand for imports is elastic, that is greater than 1, there will be a contraction in qty demanded of imports by a relatively higher percentage, causing a fall in import expenditures, helping to reduce a deficit. This is also why options A and B become incorrect.

### 29-C:

Option C, "reducing the rate of income tax for all income earners," is correct because it is an example of fiscal policy aimed at increasing aggregate demand in an economy. Here's why the other options are incorrect:

A) Increasing expenditure by firms on skills training programs for unskilled workers is an example of investment in human capital and can have long-term benefits for the economy. **A fiscal policy has to do with taxation and govt spending.**

B) Increasing the commercial banks' lending ability relates to monetary policy rather than fiscal policy. Monetary policy is managed by the central bank and involves controlling interest rates, money supply, and bank lending.

Option C, reducing the rate of income tax for all income earners, directly affects the disposable income of individuals and households. By reducing income tax rates, people have more money available to spend, which can lead to an increase in consumption expenditure. This increased consumer spending, in turn, stimulates aggregate demand in the economy. It is an expansionary fiscal policy measure aimed at directly boosting **aggregate demand**, making it the correct answer.

D) Reducing the rate of interest on loans to manufacturing companies is also an example of monetary policy rather than fiscal policy.

### 30-C:

Option C, "decreasing the interest rate," is correct because it is a policy measure that can help maintain the fixed exchange rate in a country experiencing a balance of payments surplus. Here's why the other options are incorrect:

A) Decreasing government borrowing: Decreasing government borrowing would lead to a decrease in the level of government's current, exhaustive spending that would lead to an decrease in injections in to the circular flow, which will lead to a decrease in "rolling of money", leading to an decrease in generation of incomes, which would contribute to a fall in consumption also on imported goods, leading to a "fall in supply of currency" which would lead to appreciation of the ER.

B) Decreasing government spending: The reason is the same as in option A.

Option C, decreasing the interest rate, can be an effective measure to maintain the fixed exchange rate. By decreasing the interest rate, the central bank can make the country's currency less attractive to foreign investors, which may discourage capital inflows and help **prevent an appreciation** of the currency. This intervention can help stabilize the exchange rate in the face of a balance of payments surplus, that would otherwise have led to appreciation.

D) D) Decreasing the money supply: Reducing the money supply would result in an upward pressure on the interest rate, and because of increased incentives to invest in the economy, FDI would be attracted, leading to a rise in the demand for the currency, which would result in appreciation of the ER.

